

The concept of a mobile wallet works pretty much along these lines. The exchange at the point of transaction (shops, banks or Web sites) would be the information from your mobile phone. Just as with a credit card, the mobile phone service provider provides the technical and logistical support for your transaction, while either the provider or a bank stands surety to the transaction.

The mobile payment system is at the nascent stage, with a number of concerns regarding security and interoperability yet to be solved. An ideal payment mechanism includes a number of security layers and a number of protocols that both the issuer and the consumer need to follow.

The first phase of the payment lifecycle is the configuration of the payment mechanism. In the mobile payment environment this could be the installation of an applet or application on a mobile device, such as a mobile wallet, or the issuance of a new mobile device pre-loaded with a certain amount of money, or a new SIM card loaded with a certain value. This setup and configuration of the payment instrument usually takes place only once, and any subsequent recharge of the mobile device or SIM is done just as a normal recharge for value. Operators such as Mobile Lime in the United States provide this service.

Mobile payments can be categorised into macro and micro payments. The distinction between the two is important since the security required for each will be different. As the names suggest, macro-payments involve transactions of large sums of money, or a credit facility, whereas micro-payments mean smaller sums, and in most cases, a direct debit of the required amount. For very obvious reasons, authentication for every macro-payment transaction through a trusted financial entity such as a bank or service provider is extremely important, whereas a simple network authentication, such as SIM verification or a PIN code may be sufficient for micro-payments as they use just the operator's infrastructure.